Oligopoly Questions

1. The Demand curve is Q=50-P, there are two firms operating under Bertrand competition, each of their cost curves is C=5q. What will the price be in this market?

a) 20
b) 45
c) 50/6
d) 5
e) None of the above

2. Given what we have learned in lectures, what would be the correct order for price in a market under different market structures?

a) Monopoly Price > Cournot Price > Perfectly competitive Price
b) Cournot Price > Monopoly Price > Perfectly competitive Price
c) Perfectly competitive Price> Cournot Price > Monopoly Price
d) Cournot Price > Perfectly competitive Price > Monopoly Price
e) Monopoly Price > Perfectly competitive Price > Cournot Price

3. According to lecture, which market structure most accurately describes the situation of firms in most settings in the real world–

a) Perfect competition
b) Monopoly
c) Monopolistic competition
d) Cournot
e) Bertrand

4. Two firms, A and B, are competing in a Cournot duopoly. The market demand curve for their identical product is P=100-Q, where $Q=Q_A+Q_B$, where P is the price. Both firms have a marginal cost of 10, so $C_A=10Q_A$ and $C_B=10Q_B$. What is the equilibrium price?

a) 30
b) 40
c) 50
d) 60
e) None of the above

5. Recently McDonald's accused beef suppliers of price fixing. The fast-food giant has sued Cargill, JBS, Tyson and others, claiming they conspired to limit production and drive up the price of beef. If McDonald's is right, the beef market would be an example of (MARK ALL THAT APPLY)–

a) a perfectly competitive market
b) monopolistic competition
c) Oligopoly
d) Collusion
e) Regulatory Capture

6. Two firms compete in a single market (duopoly) with demand given by Q_D=60-P. The two firms have identical cost functions, C(q)=10q.

If the two firms compete via Bertrand (price) competition, then the total market quantity sold will be–

a) 60
b) 50
c) 30
d) 10
e) None of the above

7. Two firms, A and B, are competing in a Cournot duopoly. The market inverse demand curve for their identical product is P=180-Q, where Q=Q_A+Q_B, where P is the price. Both firms have a marginal cost of 60. What is each firm's profit (assume fixed costs are zero)?

a) 800
b) 1600
c) 3200
d) 4000
e) None of the above

8. Which of the following markets would likely have the highest Lerner's index?

a) A firm operating in perfect competition
b) A firm in monopolistic competition with many substitutes
c) A firm in monopolistic competition with few substitutes
d) A firm in a commoditized market
e) Bertrand competition

9. Identify the correct order from highest quantity to lowest total quantity sold under different Market structures:

a) 1.Perfect Competition, 2.Monopoly, 3.Cournot
b) 1.Monopoly, 2.Perfect Competition, 3.Cournot
c) 1.Cournot, 2.Monopoly, 3.Perfect Competition
d) 1.Monopoly, 2.Cournot, 3. Perfect Competition
e) none of the above

10. What is the correct order from highest price to lowest price under different market structures

a) Monopoly > Monopolistic Competition > Perfect Competition
b) Monopolistic Competition > Monopoly > Perfect Competition
c) Monopolistic Competition > Perfect Competition> Monopoly
d) Perfect Competition> Monopolistic Competition > Monopoly
e) None of the above

11. Two firms compete in a single market (duopoly) with demand given by Q_D=60-P. The two firms have identical cost functions, C(q)=20q. If the two firms compete via Bertrand (price) competition, the total quantity sold in the market will be (MARK ALL THAT APPLY)

a) 20
b) 40
c) Higher than the total market quantity under Cournot competition
d) Lower than the total market quantity under Cournot competition
e) Higher than the total market quantity under perfect competition

12. Two firms compete in Cournot duopoly. Market inverse demand curve is given by:

P = 120 - Q where Q = q1 + q2

Each firm has a constant marginal cost: MC = 20 and no fixed costs. Assuming each firm chooses output simultaneously, what is the equilibrium output for each firm?

A) 20
B) 30
C) 40
D) 50
E) none of the above

13. A market has the following demand curve P=350-5Q. Two firms operate in Bertrand competition. Each has MC=50 and no fixed costs. What will the TOTAL quantity supplied in the market be?

a) 20 b) 40 c) 50 d) 60 e) None of the above

14. Two firms sell identical bottled water. Market demand is:

Q=100−P

Each firm has constant marginal cost:

MC=20

The firms compete by choosing prices simultaneously. Consumers buy from the firm with the lower price; if both firms charge the same price, they split the market equally.

What is the Bertrand equilibrium price?

A. P=20
B. P=40
C. P=60
D. P=100
E. None of the above

15. In the Bertrand competition model of oligopoly, price is (**mark all that apply**)–

a) Equal to marginal cost
a) Greater than marginal cost
b) Equal to the price in perfect competition
c) Greater than the price under Cournot competition

16. Firm 1 and Firm 2 are Cournot competitors. They both have the following cost function, $C(Qi) = 70Qi$. The market demand function is $Q = 160 - P$, where $Q = Q1 + Q2$. In equilibrium, Firm 2 will produce Q1 = _____.

a. 20 b. 30 c. 40 d. 60 e. None of these

17. Two firms compete in a single market (duopoly) with market demand given by Q_D=60-P. The two firms have identical cost functions, C(q)=20q.

If the two firms compete via Bertrand (price) competition, then the total market quantity sold will be–

a) 40
b) 33.33
c) 26.67
d) 20
e) None of the above

18. Two firms compete in a single market (duopoly) with market demand given by Q_D=60-P. The two firms each have identical cost functions, C(q)=20q.

If the two firms compete via Cournot (price) competition, then the total market quantity sold will be–

a) 40
b) 33.33
c) 26.67
d) 20
e) None of the above

19. Two firms, A and B, compete in a market by choosing quantities simultaneously. The market demand is given by:
P=100−(q_A+q_B), where P is the price, and q_A and q_B are the quantities produced by each firm.
Both firms have a constant marginal cost of MC=20 (there are no fixed costs)
What is the equilibrium quantity produced by each firm in the Cournot equilibrium?
A) 10
B) 20
C) 25
D) 40
E) None of the above

20. Two firms compete in a single market (duopoly) with demand given by Q_D=60-P. The two firms have identical cost functions, C(q)=5q.

If the two firms compete via Bertrand (price) competition, the quantity sold in the market will be

a) 110
b) 55
c) 5
d) 0.5
e) None of the above

21. Recently McDonald's accused beef suppliers of price fixing. The fast-food giant has sued Cargill, JBS, Tyson and others, claiming they conspired to limit production and drive up the price of beef. If McDonald's is right, the beef market would be an example of (MARK ALL THAT APPLY)–

a) a perfectly competitive market
b) monopolistic competition
c) Oligopoly
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